NSE's success in automated stock markets in a short time helped India's creditability in a fledgling IT world in early 1990's, where Indians were not known for their IT progress. NSE was the place where India built its confidence in IT & became a demonstrator for the world to feel confident about India's ability to give IT solutions. Before NSE there were no successful screen based fully automated order matching system in the world. NYSE, NASDAQ, Chicago stock exchange, London stock exchange, Tokyo stock exchange, Sydney stock exchange, etc. were floor based and became fully automated after observing NSE's spectacular success. NSE was also India's first Digital Public Infrastructure project that became a torch bearer for India's current digital governance projects such as Aadhaar, UPI, GEM, Covin, etc. NSE is also India's first and the largest fintech till date.

NSE has now emerged as the largest stock exchange in the world processing around 20 billion orders and 285 million transactions on certain days. NSE has 11 crore unique registered investors with21 crore accounts from 99.8% of PIN codes in India. In 30 years NSE's market capitalisation has increased 114 times from Rs 4 lakhs crore to Rs 456 lakhs crore (USD 5.4 trillion).

NSE stands as a hallmark of India's financial revolution, transforming the capital markets over the past 30 years, when it started operations. Its journey has been characterized by relentless innovation, technological advancement, and a commitment to fairness, transparency and efficiency.

Ashishkumar Chauhan, one of the founding team members, leads the NSE as the MD & CEO. Under his able guidance the NSE remains committed to empowering crores of investors while shaping the future of India's financial ecosystem.

GENESIS AND OBJECTIVES

The establishment of the NSE was a direct response to the challenges that plagued India's financial markets in the early 1990s. The Harshad Mehta securities scam of 1992 exposed systemic inefficiencies, lack of transparency, and the potential for market manipulation in the stock markets. This underscored the need for a robust and modernized trading platform.

Under the leadership of visionaries such as Dr. R.H. Patil, and Mr. S.S. Nadkarani the NSE was conceived with a mission to provide a transparent, electronic, and efficient trading system. The key objectives were:

- To eliminate the inefficiencies of manual trading.
- To introduce a nationwide, fully automated screen-based trading system.
- To ensure access to all market participants, irrespective of their geographic location.
- To foster a culture of trust, transparency, integrity, fairness, efficiency and investor protection.

The foundation of the NSE represented a paradigm shift in the Indian financial landscape, marking the beginning of an era of reforms aimed at modernizing India's economy.

ARCHITECTS OF CHANGE

NSE has been instrumental in democratizing financial markets in India. It has empowered retail investors, encouraged institutional participation, and bridged the urban-rural divide. By introducing innovative products and leveraging technology, NSE has made investing more accessible, transparent, efficient, and secure. The exchange has actively collaborated with market regulators and requisite government bodies to implement reforms aimed at strengthening market integrity. Its regulatory framework, which includes stringent risk management practices, has become a benchmark for exchanges worldwide. NSE has championed the adoption of cutting-edge technology, a culture of regulatory compliance, and investor-centric policies, laying the groundwork for NSE's future successes.

MAJOR MILESTONES IN NSE'S JOURNEY

Introduction of Screen-Based Trading (1994): NSE introduced a fully automated, electronic order matching, replacing the traditional open-outcry system. This revolutionary change ensured speed, fairness, efficiency, and transparency, setting a new benchmark for stock exchanges in India.

Establishing the NSE Clearing Limited (NCL) (1996): A wholly owned subsidiary of the NSE, it is responsible for clearing and settlement services. It ensures smooth trade execution by managing counterparty risk, facilitating seamless settlements, and maintaining market integrity through robust risk management systems.

Launch of NIFTY 50 Index (1996): The brainchild of the current MD & CEO Ashishkumar Chauhan, reinvented the way India measures risk and became the heartbeat of India. Nifty50 represents 50 large capitalised and liquid stocks across sectors. Financial services constitute approx. 35% of the NIFTY 50. Today, it is one of the most tracked indices globally, serving as a barometer for the Indian economy.

Dematerialization of Shares (1996): NSE co-promoted the National Securities Depository Limited (NSDL), which led the transition to paperless trading, eliminating risks associated with physical share certificates, such as loss, theft, and forgery.

Derivatives Market (2000): NSE became the first exchange in India to introduce equity derivatives, starting with index futures. This milestone established India as a significant player in the global derivatives market.

Expansion of Asset Classes: Over the years, NSE diversified its offerings to include Exchange-Traded Funds (ETFs), currency derivatives, interest rate futures, and commodities. This diversification bolstered its position as a comprehensive marketplace for financial instruments.

Technology and Digital Transformation: From deploying cutting-edge trading algorithms to real-time data analytics, NSE has consistently embraced technology to enhance market efficiency. Its robust risk management systems and surveillance mechanisms have been lauded worldwide.

Investor Awareness and Education: NSE's investor education initiatives have played a crucial role in spreading financial literacy across India contributing to broad-based market participation.

CHALLENGES AND THE ROAD AHEAD

Despite its remarkable achievements, NSE has faced challenges, including the co-location controversy and increasing competition from other domestic and global exchanges. However, its resilience and commitment to compliance, public service as well as innovation have ensured continued growth for Indian Markets.

As it enters its fourth decade of operations, the NSE is poised to play a pivotal role in India's aspirations to become a $10 trillion economy. With plans to deepen market penetration, foster green financing, NSE is set to redefine the future of capital markets.

The 30-year journey of NSE is a testament to India's financial evolution. From its humble beginnings to its current stature as a global leader, the NSE has consistently driven market efficiency, transparency, and inclusivity. As it celebrates three decades of excellence, the NSE not only symbolizes the progress of India's financial markets but also serves as a beacon of innovation and resilience. As Chauhan aptly put it in his interview with a group magazine in November 2023, "Exchanges act as frontline regulators providing stock transaction services, creating market liquidity and trust by delivering clean prices and authentic information while guiding young investors towards responsible investment behaviours. Our core mission is to facilitate efficient, transparent trading and help investors make informed financial decisions for their long-term goals and help India create jobs and wealth."